Type MS · Total cost from fixed and variable costs

Answer 1 of 9 · Question 1 part f · 2 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** They may complete charitable work A is not correct because this would maximise their profit B is not correct because this may help to maximise their profit C is not correct because this alone does not determine profitability	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **B** A normal good A is not correct because it has nothing to do with YED C is not correct because the YED will be greater than 1 D is not correct because the YED will be negative	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to the amount of output and 1 mark for reference to the input The amount of output produced **(1)** in relation to the resources used **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 1 of 9 · Question 1 part f · 2 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

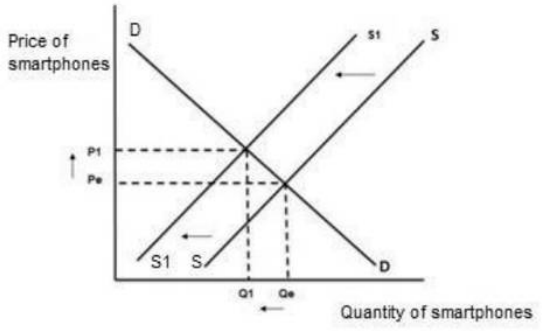
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that supplies goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 50 000 + (250 x 750) **(1)** Award 1 mark for correct total costs = $237 500 **(1)** Award 2 marks if total costs per month are correctly calculated as $237 500, even if no calculations are shown Award 1 mark if the answer given is 237 500, with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 1 of 9 · Question 1 part f · 2 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part f in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • To protect consumer interests **(1)** because firms may charge higher than the 0.8% daily cap **(1)** causing financial harm to consumers **(1)** Accept any other appropriate response	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 1 of 9 · Question 1 part f · 2 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part f in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Economies of scale result in falling average costs due to expansion • Technical economies of scale occur when larger firms can make better use of machinery than smaller ones • As Cutting Edge attracted more customers, it received more work that may require use of a powerful saw • This means it was cost-effective to purchase the equipment because the resource could be used a lot more than when Cutting Edge was only asked to cut through a small number of trees • This is because the price of the powerful saw can be spread between more gardening jobs

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total cost from fixed and variable costs

Answer 1 of 9 · Question 1 part f · 2 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part f in this mark scheme extract

Question number	Answer	Mark

Type MS · Total cost from fixed and variable costs

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** A Large firms dominate	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** C $ 60 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a good for which the rise in demand is proportionally more than that of income and 1 mark for reference to income elasticity of demand being greater than one • A good for which income elasticity of demand is greater than 1 **(1)** the proportionate change in demand is greater than the proportionate change in income **(1)** OR • Luxury goods are products that are not essential **(1)** but are highly desired and associated with wealthy people **(1)**	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for one correct factor • Factors of production • Availability of stocks • Spare capacity • Time	**(1)**

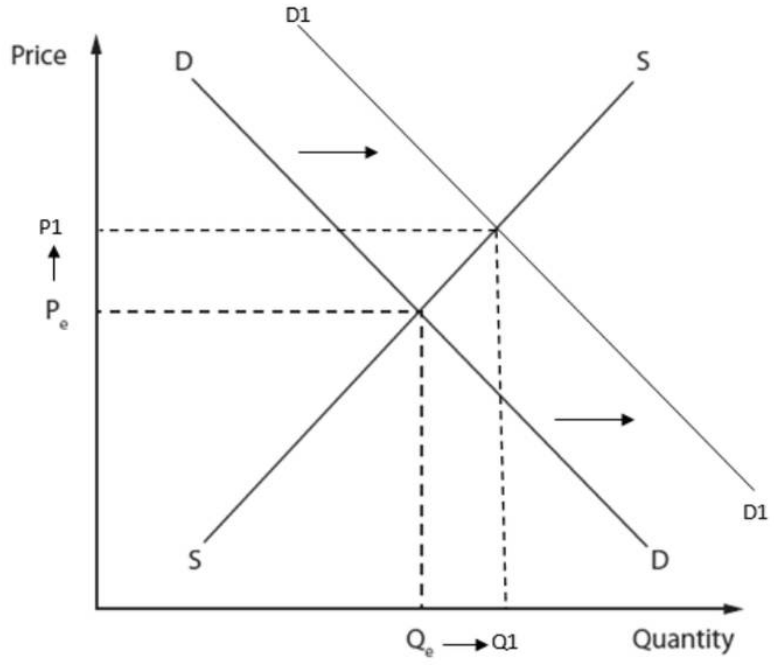
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to a good bought as an alternative to another good Goods which are used as an alternative to another good	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.9 ÷ 5.2 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 0.75 **(1)** Award 2 marks if PES is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in the context of Robert's wood carving business • One disadvantage is that the price may be higher **(1)** this is due to a lack of choice **(1)** because there are no other local wood carvers that customers can use **(1)** • One disadvantage is that it may take a long time to receive the order **(1)** because Robert is a small business and he is working alone **(1)**, and it takes time for him to make each individual door sign **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Robert may have decided it could be too time consuming and difficult to obtain additional finance in order to expand • Robert is operating in a niche market, meaning he can specialise in the requirements of his customers rather than mass production • As the door signs and gifts are made to order, and to the requirements of the customer, Robert prefers to stay small and focus on their individual needs • Robert is an entrepreneur and may have different aims to the more typical profit maximisation of some firms • He may feel that working from home, providing a high quality specialised customer service is more important • The size of the market for speciality carvings may not warrant expansion

Type MS · Total cost from fixed and variable costs

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total cost from fixed and variable costs

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Total cost from fixed and variable costs

Answer 3 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** **A** Land	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **A** $190 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount willing to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 3 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

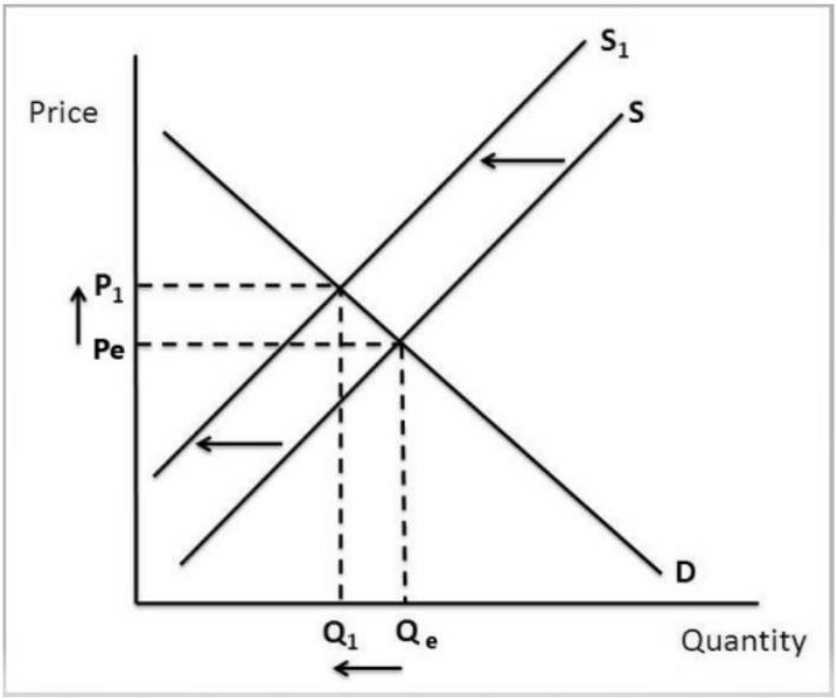
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to the relevant sector of the economy The provision of services in the economy	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 100 ÷ 2 000 **(1)** Award 1 mark for correct average cost per unit (AC) = $6.05 **(1)** Award 2 marks if average cost per unit is accurately calculated, even if no calculations are shown Award 1 mark if students show calculation and put 6.05 without the dollar sign Do not award marks for the formula	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 3 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of music concerts • One reason is that there are no substitutes **(1)** if they want to see the artist performing live **(1)** the consumer will have no choice but to pay a high amount **(1)** Accept any other appropriate response	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 3 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inca Kola was a major competitor of Coca-Cola and the market leader • Coca-Cola had a slightly lower share of the market than Inca Kola, with 32.0% compared to 32.9% • Inca Kola was well established in Peru (since 1935) • Buying a share of the company was a way to benefit from the success rather than struggle to compete • The purchase meant Coca-Cola no longer needed to compete with Inca Kola for market share • Coca-Cola's purchase means they have much more control over the Peruvian fizzy soft drinks market • Coca-Cola also gets a share of Inca Kola's profits

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total cost from fixed and variable costs

Answer 3 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Total cost from fixed and variable costs

Answer 4 of 9 · Question 1 part b · 1 mark

2020 JAN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** **D** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **D** $750 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Building construction/Car production/Shipbuilding Accept any other appropriate response	**(1)**

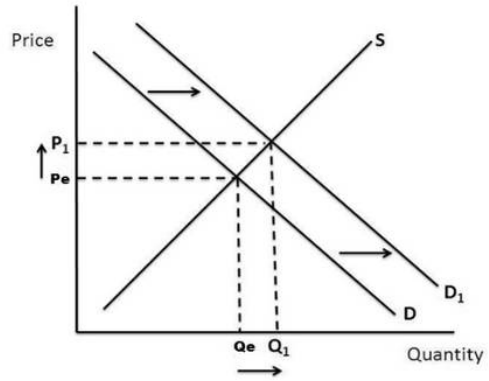
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The people used in the production of goods and services Accept any other appropriate response	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 4 of 9 · Question 1 part b · 1 mark

2020 JAN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 10 ÷ 25 **(1)** Award 1 mark for correct income elasticity of demand (YED). = 0.4 **(1)** Award 2 marks if YED is correctly calculated as 0.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 4 of 9 · Question 1 part b · 1 mark

2020 JAN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • The opportunity cost is a new school the government cannot build **(1)** it cannot build the school and the hospital **(1)** because it does not have the resources/money to fund both **(1)** Accept any other appropriate response	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 4 of 9 · Question 1 part b · 1 mark

2020 JAN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Question number	Indicative content		
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By matching fundraising of up to $1 000 per employee, McAfee would reduce the profits it can make • It is possible McAfee will attract positive publicity due to its fundraising match programme • This means that consumers may be more likely to buy computer software security from McAfee rather than its competitors • Staff may also be motivated by the programme so staff turnover may reduce/productivity may increase • Therefore McAfee could still make larger profits than if it did not run the programme • McAfee already has a revenue of over $2.5bn so may believe it can afford to be charitable		
Level	**Mark**	**Descriptor**	
	0	No rewardable material.	
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).	
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).	
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).	

Type MS · Total cost from fixed and variable costs

Answer 4 of 9 · Question 1 part b · 1 mark

2020 JAN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Total cost from fixed and variable costs

Answer 5 of 9 · Question 2 part d · 2 marks

2022 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this is unitary elasticity C is not correct because this is price inelastic D is not correct because the responsiveness is equal	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** External economies of scale A is not correct because this is when an individual firm benefits from falling average costs C is not correct because this results from higher average costs D is not correct because this is a type of internal economies of scale	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable disadvantage • Reduced profit • Higher (advertising) costs • Need to reduce prices Accept any other appropriate response	**(1)**

Type MS · Total cost from fixed and variable costs

Answer 5 of 9 · Question 2 part d · 2 marks

2022 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $75 000 + ($525 x 1350) **(1)** Award 1 mark for correct total costs = $783 750 **(1)** Award 2 marks if total costs per month are correctly calculated as $783 750, even if no calculations are shown Award 1 mark for 783 750, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • One firm buying out another firm • Obtaining control of a firm by buying over 50% of its shares Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • They may develop buying habits **(1)** to stay loyal to a particular brand they enjoy **(1)** • They may copy the behaviour of others **(1)** in order to fit in with others in a group **(1)** Accept any other appropriate response	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 5 of 9 · Question 2 part d · 2 marks

2022 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $4.50 to $5.00 results in more units **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1).** A decrease from $4.50 to $4.00 results in fewer units **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 5 of 9 · Question 2 part d · 2 marks

2022 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The supply of labour is the number of people willing and able to work • It can be affected by many factors, including skills and qualifications • Normally, the supply of labour will increase if there is an increase in the number of people qualified to work in that industry • There has been an increase in the number of graduates with degrees in science, maths and modern languages • By having a degree in these subjects, graduates are more likely to be attracted into the teaching profession by the bonus payment of £9 000 • Therefore, having a degree in science, maths or modern languages would lead to an incentive of higher wages, meaning that the supply of teachers should increase with an increase in skills and qualifications **AO4** • However, it may depend on other factors such as working conditions in teaching because long hours, bureaucracy and student behaviour may deter those with skills and qualifications to teach • If the skills and qualifications can be used by other occupations, graduates may move to alternative types of employment and will not increase the supply of teachers • The bonus is only available to teachers with degrees in maths, science and modern languages and so those qualified in other subjects may find it more beneficial to work in other types of employment • Therefore, an increase in skills and qualifications may not always lead to an increase in the supply of teachers

Type MS · Total cost from fixed and variable costs

Answer 5 of 9 · Question 2 part d · 2 marks

2022 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Total cost from fixed and variable costs

Answer 5 of 9 · Question 2 part d · 2 marks

2022 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Total cost from fixed and variable costs

Answer 6 of 9 · Question 2 part d · 2 marks

2023 JAN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **D** Oligopoly A is not correct because it does not show employment levels B is not correct because this is a sector not a market C is not correct because there is more than one firm	**(1)**

Question number	An increase in which one of the following is most likely to increase productivity? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Irrigation A is not correct because this is likely to reduce productivity B is not correct because this increases time and costs D is not correct because this increases tasks for the firm to carry out	**(1)**

Question number	What is meant by the term barriers to entry? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award 1 mark for reference to obstacles and 1 mark for reference to making it difficult for new firms to enter a market These are obstacles **(1)** that make it difficult for a new firm to enter a market **(1)** Accept any other appropriate response	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 6 of 9 · Question 2 part d · 2 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	Calculate the total costs per month for the firm. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $57 000 + ($750 x 1820) **(1)** Award 1 mark for correct total costs = $1 422 000 **(1)** Award 2 marks if total costs per month are correctly calculated as $1 422 000, even if no calculations are shown Award 1 mark for 1 422 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe one disadvantage for a government of using subsidies. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the disadvantage and 1 mark for development of the disadvantage • There may be an opportunity cost. **(1)** The money spent on the subsidy may be more effective if spent on other government projects **(1)** Accept any other appropriate response	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 6 of 9 · Question 2 part d · 2 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question number	Explain one reason why Heather may have decided to keep her business small. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The size of the market. **(1)** There may already be a high number of restaurants in the area **(1)** meaning Heather does not want to try to compete with other restaurant chains **(1)** • Access to finance may be difficult for a small business **(1)** because banks/lenders may believe it is too much of a risk, **(1)** so Heather may not be able to afford to buy the new premises necessary to open another restaurant **(1)** Accept any other appropriate response	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 6 of 9 · Question 2 part d · 2 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale occur when average costs decrease as a firm expands • A merger between CK Hutch and Indosat would lead to a new, larger telecommunications firm • Larger firms can usually operate at a lower unit cost than smaller firms due to the ability to make bulk purchases, combine marketing expenses and share technology • The new firm is likely to attract more customers, requiring a need to purchase more equipment. This could be done at a lower price per unit • Advertising of both CK Hutch and Indosat could be combined, reducing the advertising costs • As both firms would have used research and development departments, a merger would allow these to combine to reduce costs • This means economies of scale are likely to be enjoyed if the firms merge **AO4** • Economies of scale do not always occur or give the expected results • This expansion could result in pushing the merged firm beyond the minimum efficient scale, leading to diseconomies of scale • Diseconomies occur when average costs increase as a firm expands • Communication problems may occur due to the increased number of employees • There may be more bureaucracy due to the increased size of the firm • A larger gap between the management and the employees may occur due to the higher number of employees which could lead to reduced control • As Indosat's +60 million customer base is growing, this could result in further diseconomies of scale

Type MS · Total cost from fixed and variable costs

Answer 6 of 9 · Question 2 part d · 2 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Total cost from fixed and variable costs

Answer 6 of 9 · Question 2 part d · 2 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	Which one of the following could be described as an economic need? **Answer**	**Mark**

Type MS · Total cost from fixed and variable costs

Answer 7 of 9 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Inferior good A is not correct because this is purchased by firms to produce other goods which should increase in demand as consumer incomes increase C is not correct because demand would increase as incomes increase D is not correct because as incomes increase, so would demand	**(1)**

Question number	Which **one** of the following equals $1 740? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Total variable costs A is not correct because price cannot be calculated from the information B is not correct because there is not enough information to calculate revenue and therefore profit C is not correct because the quantity of units produced is needed to do this calculation	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to splitting up production and 1 mark for reference to tasks Breaking down the production process **(1)** into smaller tasks **(1)** Accept any other appropriate response	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 7 of 9 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	State **one** reason why a supply curve will shift to the left. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Rise in the cost of production • Rise in indirect taxes • Fall in subsidies • Natural factors/disasters Accept any other appropriate response	**(1)**

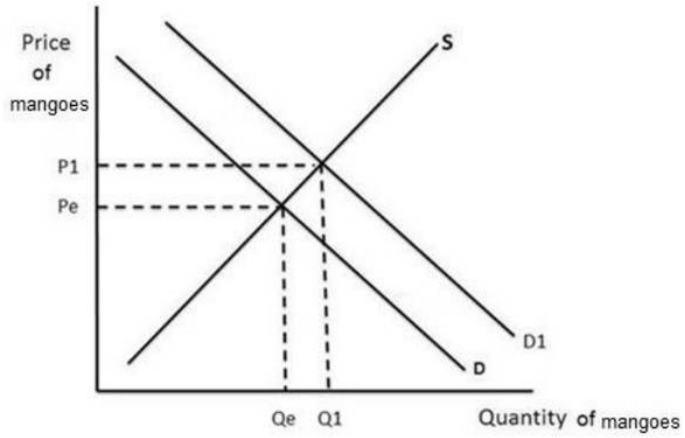
Question number	Define the term competition. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Rivalry that exists between firms Accept any other appropriate response	**(1)**

Question number	Calculate the **total revenue** for the firm when its monthly sales are 250 units. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €75 x 250 **(1)** Award 1 mark for correct total revenue = €18 750 **(1)** Award 2 marks if total revenue is correctly calculated as €18 750, even if no calculations are shown Award 1 mark if the answer given is 18 750 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 7 of 9 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** possible reason why Christine serves large-sized meals. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context One reason is that Christine may prioritise caring for customer needs **(1)** because she has gained a positive reputation for serving large-sized meals **(1)** meaning, customers are more likely to remain loyal to her cafe **(1)** Accept any other appropriate response	**(3)**

Type MS · Total cost from fixed and variable costs

Answer 7 of 9 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The tertiary sector involves the production of services in the economy • The secondary sector is the production of finished/semi-finished goods from raw materials • As costs of production for manufactured goods decreased in certain parts of the world, it became more difficult for firms in countries such as Germany, the UK and the US to compete • As a result, some firms may have had to cease trading or reduce the number of workers employed • The reduction in jobs in the secondary sector would discourage people from training to do manufacturing jobs • Instead, they are more likely to train in areas such as the tertiary sector, where there is an increasing demand for services, such as entertainment and restaurants due to rising incomes and therefore more employment opportunities in this sector

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total cost from fixed and variable costs

Answer 7 of 9 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question number	Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **Answer**	Mark

Type MS · Total cost from fixed and variable costs

Answer 8 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $90 + $20 + (65 x $0.25) OR $90 + $20 + $16.25 **(1)** Award 1 mark for calculating correct total costs = $126.25 **(1)** Award 2 marks if total costs are correctly calculated as $126.25, even if no calculations are shown Award 1 mark if total costs are calculated as 126.25, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 8 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how internal economies of scale may lead to benefits for MAS Supermarkets. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Internal economies of scale, such as purchasing, marketing, technical, financial, managerial or risk bearing, occur when average costs fall as a firm expands • MAS Supermarkets has a large number of shops across Cyprus, meaning the marketing costs can be shared by multiple shops • MAS Supermarkets may benefit from purchasing economies of scale, by buying inventory in large quantities to obtain discounts • By reducing its average costs, MAS Supermarkets may be able to pass on cost-savings to its customers, allowing it to achieve the aim of offering low prices • MAS Supermarkets may be able to open more stores or make improvements to existing ones due to success with offering quality, service and low prices • This may mean it is able to benefit further from other economies of scale

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total cost from fixed and variable costs

Answer 8 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether consumers are likely to benefit from the privatisation of Lagos Airport. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Privatisation involves the sale of state-owned resources to the private sector • The Nigerian Government wants to sell Lagos airport (and three other main airports in Nigeria) to private investors • This means that the airport would no longer be controlled by the government and its owners would be more likely to pursue different objectives, such as making a profit (and making back the investment from buying the airport) • As a result, the prices may rise for consumers • The previous focus on safety and improving airport facilities may reduce, in order to cut costs for the new owners, especially as the Nigerian Government had used subsidies to help pay for these • Therefore, consumers may see an increase in problems with use of the airport and may face more risk of accidents at the airport • This issue may be more likely due to the resistance to the privatisation previously faced from trade unions, indicating the workers at the airport may be unhappy • Therefore, service may be affected leaving consumers unhappy with conditions at the airport **AO4** • However, the focus of the new owners may not change as improving safety and airport facilities to meet customer needs may be seen as ways to attract more demand and therefore increase revenue • In order to make a profit, greater efficiency is likely to be a focus for owners of Lagos Airport, meaning the delivery of services may be better, not worse • Lagos Airport is the busiest in Nigeria, with potential for increased growth in both passenger and industrial use, meaning the new owners may be able to utilise higher revenues to maintain and increase customer satisfaction • This may complement, rather than replace the objective of making a profit • This is more likely to be achievable if the new owners have more experience and skills in managing an airport than the Nigerian Government • It may depend on the level of investment from the private owners as well as their objectives

Type MS · Total cost from fixed and variable costs

Answer 8 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Total cost from fixed and variable costs

Answer 8 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

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Type MS · Total cost from fixed and variable costs

Answer 8 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Type MS · Total cost from fixed and variable costs

Answer 9 of 9 · Question 1 part f · 2 marks

2025 JUN · Paper 01 · extract 1 of 7 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Consumers aim to maximise benefits A is not correct because firms often aim to maximise profit C is not correct because consumers are giving up the products D is not correct because these consumers would be calculating benefits	**(1)**

Question number	Which **one** of the following best describes the product? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** An inferior good A is not correct because YED does not determine whether a good is a public good B is not correct because the YED would be positive C is not correct because the YED would be positive and greater than 1	**(1)**

Question number	What is meant by the term productivity? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The amount of output produced **(1)** in relation to the resources used/time period **(1)**	

Type MS · Total cost from fixed and variable costs

Answer 9 of 9 · Question 1 part f · 2 marks

2025 JUN · Paper 01 · extract 2 of 7 · find part f in this mark scheme extract

	Accept any other appropriate response	**(2)**

Type MS · Total cost from fixed and variable costs

Answer 9 of 9 · Question 1 part f · 2 marks

2025 JUN · Paper 01 · extract 3 of 7 · find part f in this mark scheme extract

Question number	State the formula for social costs. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs Accept any other appropriate response	**(1)**

Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that creates/makes goods and/or services Accept any other appropriate response	**(1)**

Question number	Calculate the **total costs per month** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €37 000 + (€170 x 650) **(1)** Award 1 mark for calculating correct total costs = €147 500 **(1)** Award 2 marks if total costs per month are correctly calculated as €147 500 even if no calculations are shown Award 1 mark if the answer given is 147 500, with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Total cost from fixed and variable costs

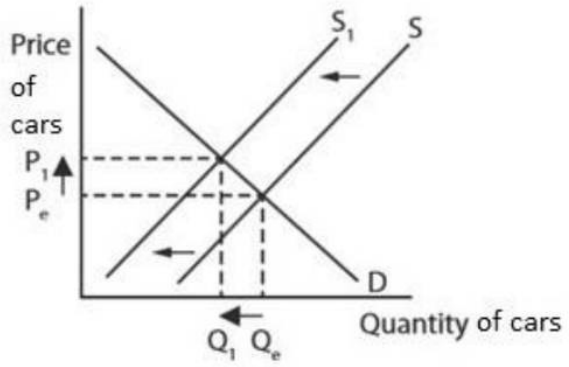
Answer 9 of 9 · Question 1 part f · 2 marks

2025 JUN · Paper 01 · extract 4 of 7 · find part f in this mark scheme extract

Type MS · Total cost from fixed and variable costs

Answer 9 of 9 · Question 1 part f · 2 marks

2025 JUN · Paper 01 · extract 5 of 7 · find part f in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	(3)

Question number	Explain **one** reason why the CMA may have made this decision. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In order to prevent monopoly power **(1)** and so promote competition **(1)** as a firm with over 60% of the market may be less likely to innovate **(1)** Accept any other appropriate response	(3)

Type MS · Total cost from fixed and variable costs

Answer 9 of 9 · Question 1 part f · 2 marks

2025 JUN · Paper 01 · extract 6 of 7 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how an increase in demand for furniture made of wood may affect the demand for woodcutters. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • When an industry needs labour to create a good/service, the demand for labour is a derived demand • This is because the good/service cannot be produced without labour • Therefore, woodcutters are needed to cut the wood with which to make the furniture (the final product) • An increase in demand for furniture made of wood by 5% is likely to lead to an increase in the demand for woodcutters • This is because the greater the demand for a good or service, the greater the demand for labour is likely to be

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Total cost from fixed and variable costs

Answer 9 of 9 · Question 1 part f · 2 marks

2025 JUN · Paper 01 · extract 7 of 7 · find part f in this mark scheme extract

Question number	Which **one** of the following options shows unobtainable production? **Answer**	**Mark**